

Question 1:

Question: Which of the following decision(s) is(are) associated with capital structure management?

- I. Company ABC deciding to repurchase \$10 million of its outstanding shares
- II. Company ABC deciding to expand its operations into a new market
- III. Company ABC deciding to issue \$5 million in preferred stock to investors
- IV. Company ABC deciding to pay its monthly utility bills using available cash

Type: multiple-choice

Options:

- a. I only
- b. III only
- c. IV only
- d. I and III only
- e. II and IV only
- f. I and IV only

Question 2:

Question: Which of the following statement(s) is (are) true about business organizational forms?

- I. In a sole proprietorship, the owner has unlimited liability for the business's debts
- II. A corporation's profits are only taxed once at the corporate level
- III. Limited partnerships allow some partners to have limited liability
- IV. Forming a corporation typically involves more legal formalities than starting a sole

proprietorship

V. Partnerships are subject to double taxation

VI. Sole proprietorships are the easiest business form to dissolve

Type: multiple-choice

Options:

- a. I, II, and IV only
- b. I, III, IV, and VI only
- c. II, III, V, and VI only
- d. I, IV, V, and VI only
- e. III, IV, and VI only
- f. All I, II, III, IV, V, and VI are true

Question 3:

****Question:** Which of the following statement(s) is(are) true about a premium bond?

- I. Price of the bond will decrease over time as it approaches maturity, given all else unchanged
- II. Before the bond matures, the price of the bond is higher than its face value
- III. Coupon rate of the bond is higher than the yield to maturity
- IV. Bond value will increase if coupon rate increases, given all else unchanged
- V. Value of the bond would increase if the yield to maturity decreases, given all else unchanged

Type: multiple-choice

Options:

- a. II, III and IV only
- b. I, II, and IV only

- c. I, II, III, and IV only
- d. II, III, IV and V only
- e. I, II, III and V only
- f. All I, II, III, IV and V are true**

Question 4:

Question: Which of the following bonds has the highest interest rate risk?

Bond X is a 12-year bond with an annual coupon payment of \$50 and a face value of \$1,000.

Bond Y matures in 8 years and has a coupon rate of 6%.

Bond Z is a zero-coupon bond with a maturity of 18 years.

Bond W pays an annual coupon of \$30 and matures in 25 years.

Bond V is a 20-year bond with a face value of \$2,500 and annual coupon payments of \$200.

Type: multiple-choice

Options:

- a. Bond X
- b. Bond Y
- c. Bond Z
- d. Bond W
- e. Bond V
- f. Not enough information is available

Question 5:

Question: Rapid Growth Credit Union aims to charge an EAR of 12% on their loans. If

monthly compounding is used, the credit union needs to report an APR of _____. Choose the closest answer.

Type: multiple-choice

Options:

- a. 11.2%
- b. 11.4%
- c. 11.6%
- d. 11.8%
- e. 12.0%

Question 6:

Question: Stock XYZ is a constant growth stock that pays out dividends annually indefinitely.

A dividend of \$3 was just paid today, and the current price of stock XYZ is \$150. One year from today (at the end of Year 1), the stock price is \$157.5 (after Year-1's dividend is paid).

The required return is _____, capital gains yield is _____, dividend yield is _____. Choose the closest answer.

Type: multiple-choice

Options:

- a. 7%, 5%, 2%
- b. 6%, 3%, 3%
- c. 7.5%, 4%, 3.5%
- d. 5%, 2%, 3%
- e. 6.5%, 5%, 1.5%

Question 7:

****New Question:****

The table below displays the credit ratings of bonds along with their corresponding Yield to Maturities (YTMs). A bond with an A rating is priced at \$1,250.50 and pays semi-annual coupons. If the bond matures in 15 years, what is its coupon rate? Choose the closest answer.

Type: multiple-choice

Options:

- a. 4%
- b. 8%
- c. 12%
- d. 16%
- e. 20%

Question 8:

Question: Stock Beta just paid out a dividend of \$40 today. The dividend payment will grow at a 3% annual rate for the next 20 years, after which it will stabilize and remain constant indefinitely. The required return is 8%. Stock Delta is set to pay a dividend of \$10 today and will continue with constant semi-annual dividend payments forever. The current market price is \$600. Which of the following statement(s) is(are) true about Stock Beta and Stock Delta?

- I. The effective annual required return is higher for Stock Beta than for Stock Delta.
- II. The present value of Stock Beta today is lower than that of Stock Delta.

Type: multiple-choice

****Options:****

- a. None of the statements are true
- b. I only
- c. II only
- d. Both I and II are true

Question 9:

****New Question:****

You just purchased an insurance annuity for \$400,000 at the start of the year. The annuity will pay you \$45,000 at the end of each year, with the first payment arriving at the end of this year. If it takes you 15 years to recover the initial cost, what is the APR of this annuity?

Choose the closest answer.

****Type:**** multiple-choice

****Options:****

- a. 4.5%
- b. 5.0%
- c. 5.5%
- d. 6.0%
- e. 7.0%
- f. 8.0%

Question 10:

****Question:**** Which of the following statement(s) is(are) true about the term structure?

I. Assume the term structure is flat now. All else unchanged, if the expected short-term inflation decreases relative to the long-term inflation, the term structure will become upward sloping.

II. Assume the term structure is upward sloping now and the real rate is constant. It is likely the expected short-term inflation is lower than the long-term inflation.

III. Assume the term structure is upward sloping now and the real rate is constant. It is likely the long-term liquidity premium is higher than the short-term liquidity premium.

****Type:** multiple-choice**

****Options:****

- a. I and II only
- b. II and III only
- c. I, II, and III
- d. None of the statements are true

Question 11:

****New Question:****

Assume today is January 1, 2025. You are planning for your retirement on January 1, 2040, and you have two retirement goals.

****Goal 1:**** Three months after you retire, you want to purchase a retirement home. To do so, you will need to withdraw a lump sum payment of \$120,000 at the beginning of the third month after retirement.

****Goal 2:**** Once you retire, at the end of each month, you will withdraw money for living and healthcare expenses. Your first withdrawal will be at the end of the month you retire. You plan to withdraw \$15,000 initially, with expenses growing by 0.3% each month thereafter for 20

years.

The APR is 5.5% compounded monthly.

****a.**** To fulfill both retirement goals, what is the total amount you need to have saved by the time you retire?

****b.**** Your salary grows at an average rate of 0.15% each month, and you deposit 25% of your monthly salary into a savings account. If you need to have saved \$Y (the amount calculated in part (a)) by retirement, what is your monthly salary when you make your first deposit? What is your monthly salary when you make your fifth deposit?

Question 12:

****Question:**** Company XYZ currently has bond C in the market. Bond C is a 10% 8-year bond which pays out semi-annual coupons. Bond C has a face value of \$2000. Company XYZ just issued a new Bond - Bond D. Bond D sells as a discount bond in which it is sold at 8% below par. Bond D pays out coupon every 3 months and has 10 years to maturity. The YTM for both bonds today is 6%.

- a. What is the current yield of bond C?
- b. What is the coupon rate of bond D?
- c. 4 years from now YTM increases to 7% for both bonds, and you sell bond C, what is the holding period return for bond C?

****Type:**** short-answer

****Options:**** No options provided.

Question 13:

****Question:**** Company XY is collaborating with Company ZW on a major infrastructure

project. Company XY will begin the project today, at the start of the year. The total cost of the project is \$12,000,000 in today's dollars, and it will take exactly 5 years to complete (i.e., the project will be finished at the end of the 5th year). Upon completion, Company ZW will pay Company XY a lump sum of \$18,000,000, with the payment due exactly three months after project completion. 75% of the project cost is financed through a loan. Company XY secured a 15-year loan today with a fixed monthly payment schedule, where the first payment is due at the end of this month.

a. If the annual percentage rate (APR) on the loan is 4%, what is the monthly repayment amount?

b. Exactly two months after Company XY receives the payment from Company ZW (and after making the monthly loan repayment for that month), the company plans to pay off the remaining loan balance in a single balloon payment. What will be the size of this balloon payment?

****Type:**** short-answer

****Options:**** No options provided.

Question 14:

****Question:**** Below is a summary of dividends paid by stock AB issued by Company AB.

Each dividend of this stock is paid on July 1st.

- ****2005 July 1st:**** Company AB just paid a dividend of \$4, and Company AB announced that due to financial restructuring, the dividend will decrease by \$0.50 each year for the next three years. That is, the 2006 dividend will be \$0.50 less than 2005, the 2007 dividend will be \$0.50 less than 2006, and the 2008 dividend will be \$0.50 less than 2007.

- ****2009 July 1st – 2012 July 1st:**** Company AB suspended dividend payments during a major expansion phase.

- ****2013 July 1st:**** The expansion was completed, and a dividend of \$1.50 was paid.

Company AB announced that for the following years, the growth rate of dividends will start at 1.5% and increase by 1.5 percentage points each year until reaching 4.5%, after which dividends will grow at 4.5% indefinitely.

The required return for stock AB is 8%. What is the price of the stock AB on **2005 July 1st**?

Type: short-answer

Options: No options provided.